EXECUTIVE DECISION REPORT

Protecting Margin and Scaling Profitable Growth

Retail sales performance review, FY2023 to FY2025, with three strategic recommendations, ROI projections and a 12-month implementation plan

Business Intelligence Capstone | Prepared for the Executive Leadership Team | October 2026

Data note: this report runs on a seeded synthetic retail dataset (16,000 orders, 2,196 customers) so every figure is reproducible from the accompanying notebook.

EXECUTIVE SUMMARY

Strong growth, but discounting and customer concentration put profit at risk; three moves add ₹40.1 lakh a year

₹11.7 Cr
FY2025 revenue
+17.8% vs FY2024

23.1%
Blended profit margin
FY2025 profit ₹2.7 Cr (+21%)

15.5%
Revenue CAGR FY2023-FY2025
Online now 53% of revenue

62%
Customers retained year on year
Top 10% = 45% of revenue

What we found

- Revenue grew 15.5% a year; profit grew faster in FY2025.
- Technology earns 48% of profit; West is the growth engine (38% CAGR).
- Online overtook stores in FY2025.

What puts profit at risk

- Orders discounted above 20% (10% of orders) run at a margin of -10%.
- Top 10% of customers generate 45% of revenue; retention is only 62%.
- Central is shrinking (-2.9% CAGR); Q4 carries 32% of revenue.

What we recommend

- **1. Discount guardrails:** cap at 20% (₹19.6 lakh/yr).
- **2. Office Supplies cross-sell:** highest-margin category (₹11.9 lakh/yr).
- **3. Top-customer retention:** protect concentrated revenue (₹8.6 lakh/yr).

DECISION REQUESTED

Approve ₹31.0 lakh of investment over three years. Base-case return: ₹100.4 lakh of benefit, ₹69.4 lakh net, ROI 224%, with each programme paying back in 9-11 months.

METHODOLOGY

A reproducible pipeline from raw orders to a costed decision, every number traceable to the notebook

1 Data

16,000 orders
2,196 customers
Jan 2023 - Dec 2025
11 fields per order

>

2 Validate

Schema check
Duplicates and nulls
Range rules on price, quantity, discount

>

3 Analyse

KPIs by year
Drivers by category, region, channel, segment
Seasonality

>

4 Quantify risk

Discount-depth margin
Loss-making orders
Concentration
Retention

>

5 Model ROI

Three scenarios
3-year cash flows
Payback in months
Sensitivity

Metric definitions

Metric	Definition
Revenue	Quantity x unit price x (1 - discount)
Profit and margin	Revenue - cost of goods; margin = profit / revenue
Retention	Share of customers active in one year who order again the next year
ROI (3-year)	(Benefit - cost) / cost, with year-1 benefit ramped to 50% of run rate

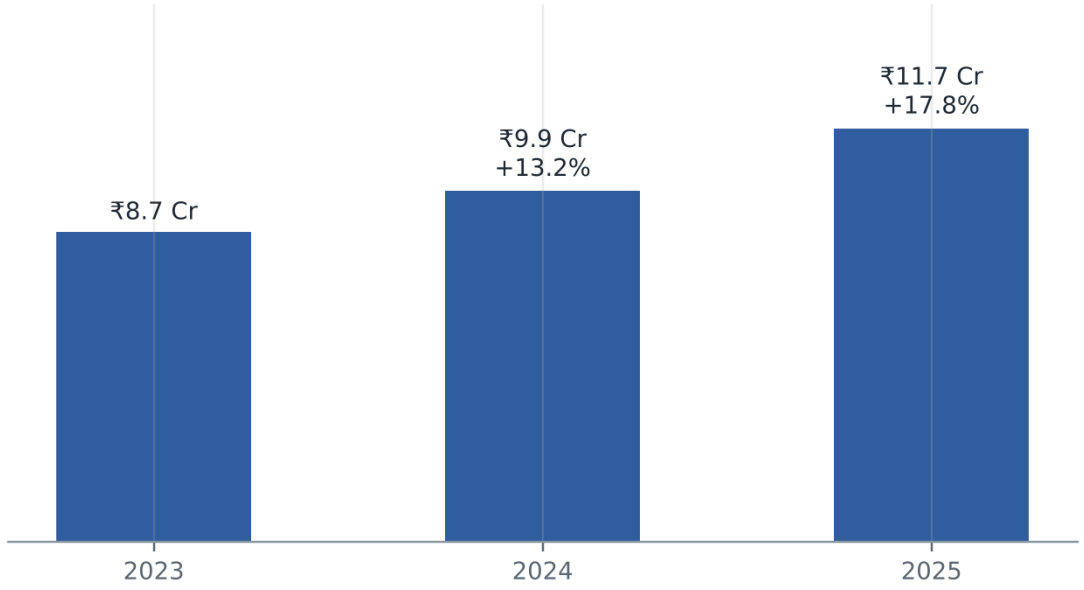
Reading the numbers

- Baselines (revenue, margin, retention, concentration) are **computed from the data**.
- Programme costs and uplifts are **planning assumptions**, listed on slide 13 and editable in the notebook.
- Currency is INR; 1 lakh = 100,000 and 1 Cr = 10,000,000.
- The dataset is synthetic and seeded (42), so results are exactly reproducible.

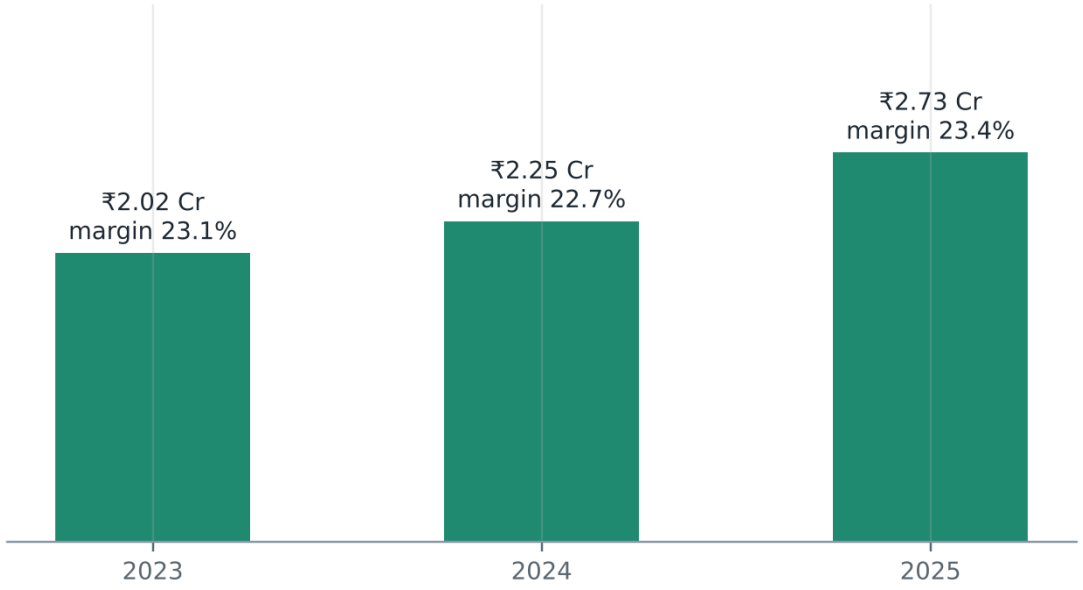
PERFORMANCE OVERVIEW

Revenue grew 15.5% a year to ₹11.7 Cr in FY2025; profit grew faster, up 21%

Revenue (INR Cr) and year-on-year growth



Profit (INR Cr) and margin



SO WHAT

Growth is broad: orders rose from 4,527 to 6,239 while average order value stayed near ₹18,980.

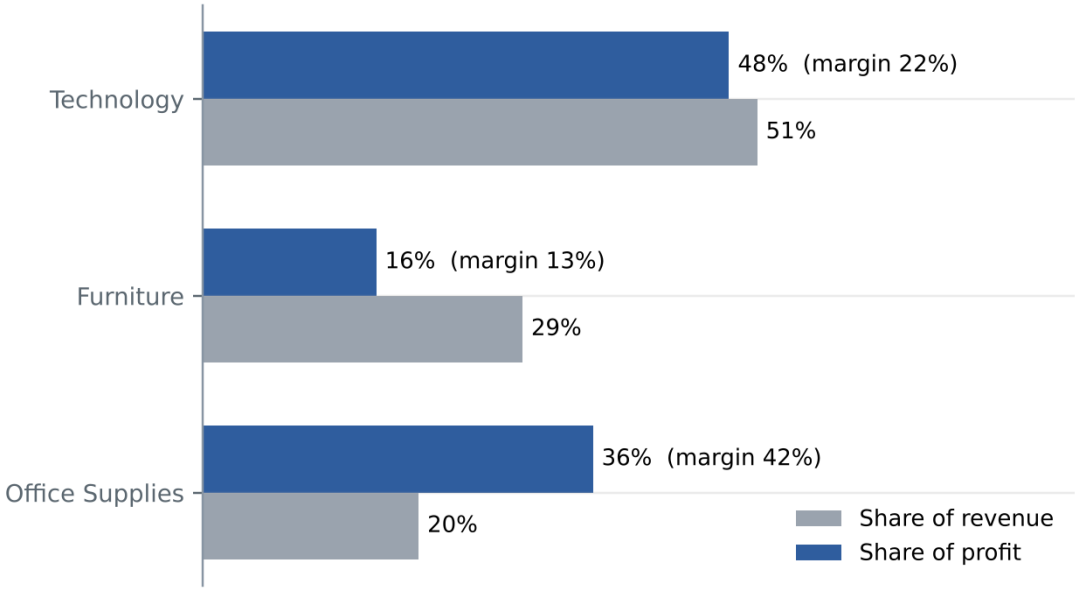
Margin improved to 23.4% in FY2025, so growth is not being bought with price cuts overall.

The next slides show where growth comes from and where it leaks.

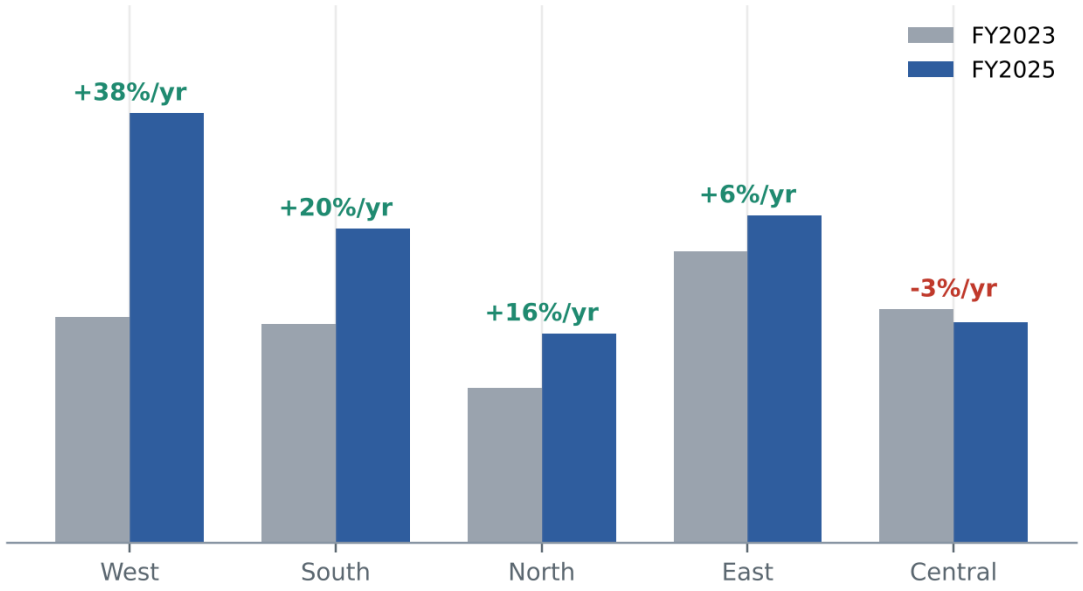
KEY REVENUE DRIVERS | CATEGORY AND REGION

Technology earns 48% of profit and West is the growth engine at 38% a year

Category: revenue share vs profit share



Region: revenue (INR Cr) and CAGR



SO WHAT

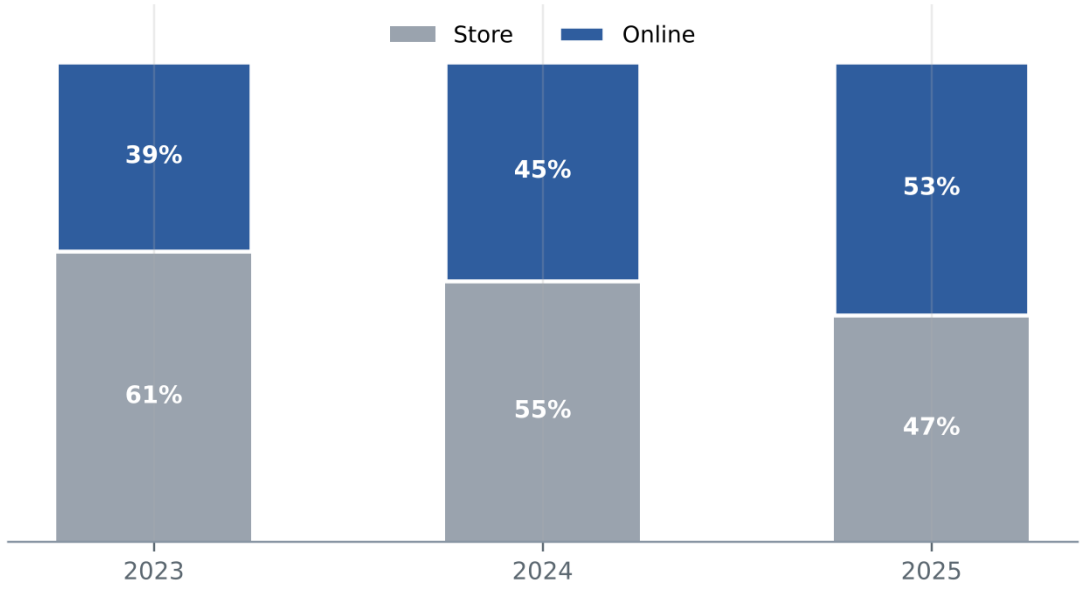
Technology is the profit anchor (48% of profit). Office Supplies is small (20% of revenue) but earns a 42% margin.

Furniture brings 29% of revenue but only 16% of profit (13% margin).

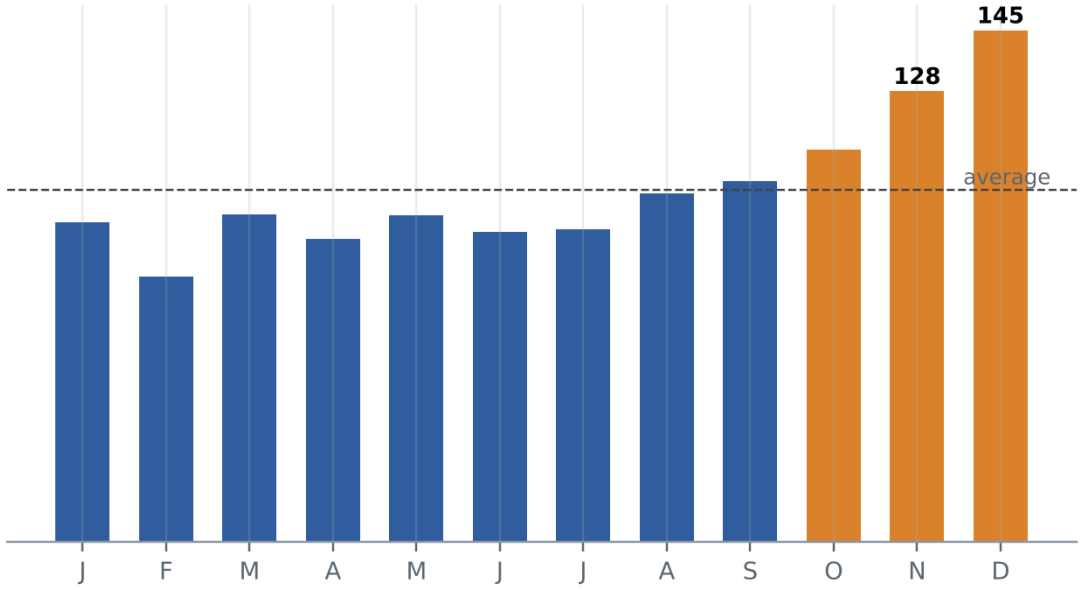
West added ₹1.6 Cr of revenue growth; Central shrank (-2.9% a year).

Online passed stores in FY2025 (53% of revenue), and Q4 delivers 32% of annual sales

Channel mix (% of revenue)



Seasonality index by month (100 = average month)



SO WHAT

Online grew from 39% to 53% of revenue in two years at a similar margin (22.8% vs 23.3% in store).

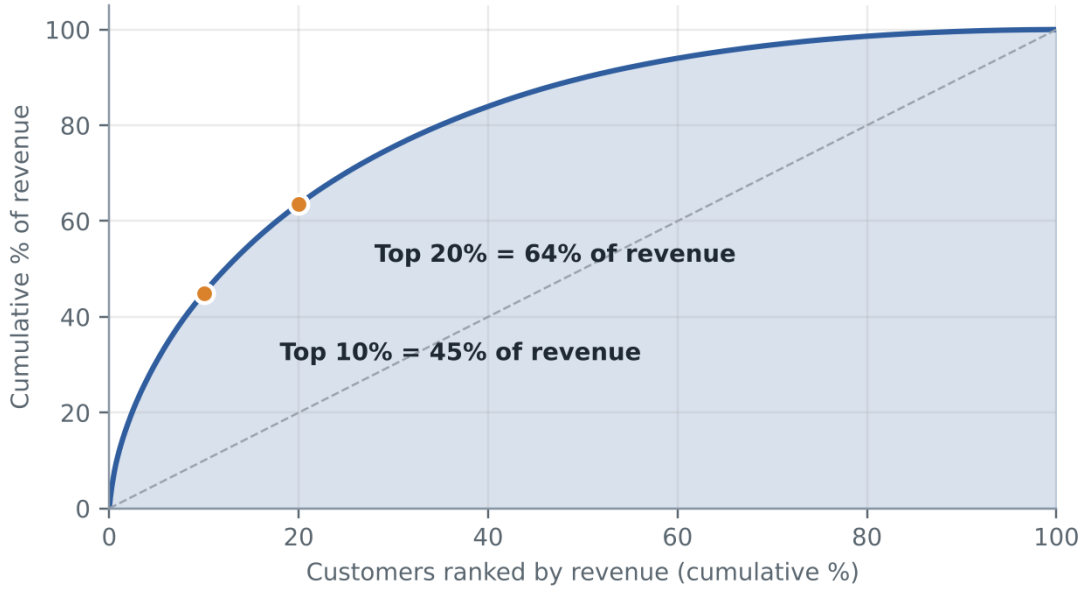
Oct-Dec runs well above average; stock, staffing and cash must be planned for a 32% Q4.

Online checkout is the cheapest place to attach high-margin add-ons (Recommendation 2).

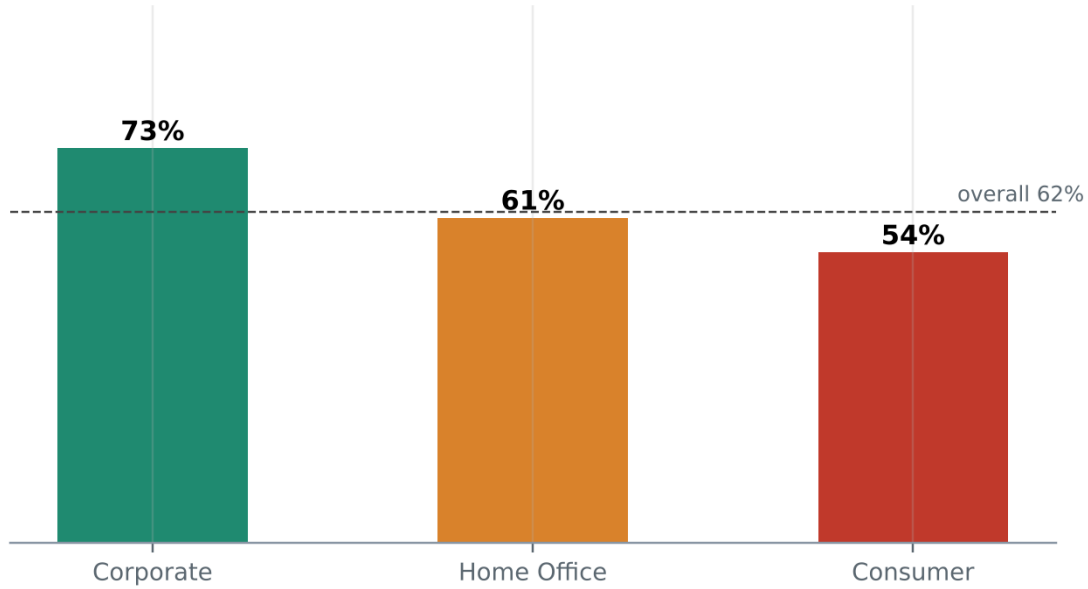
CUSTOMERS

The top 10% of customers generate 45% of revenue, but only 62% of customers return the next year

Revenue concentration



Customer retention FY2024 to FY2025 by segment



SO WHAT

The 281 top-quintile customers generate 60% of FY2025 revenue, so losing a few is costly.

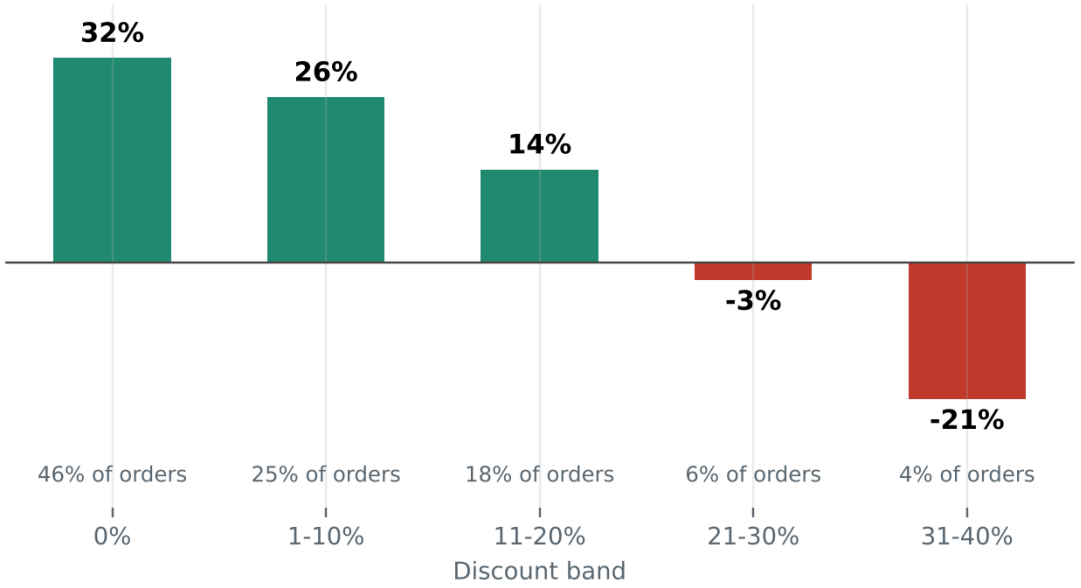
Corporate retains best (73%) and Consumer worst (54%); the gap is the retention opportunity.

A focused programme on the top quintile (Recommendation 3) protects the most revenue per rupee spent.

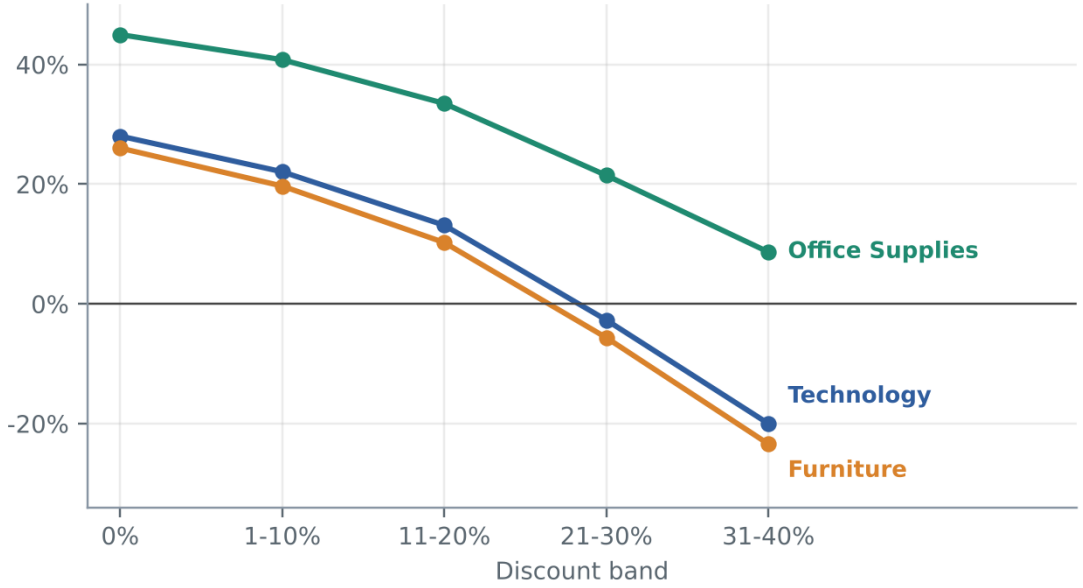
RISK AREA | DISCOUNTING

Discounts above 20% destroy margin: 10% of orders now run at a -10% margin

Profit margin by discount band



Margin by category as discounts deepen



SO WHAT

8.4% of orders are loss-making, destroying ₹0.32 Cr of profit; Furniture accounts for 72% of that loss.

Technology and Furniture turn negative beyond a 20% discount; Office Supplies stays profitable at every level.

A 20% guardrail targets the 511 deep-discount orders in FY2025, which currently lose ₹11.1 lakh.

RISK REGISTER

Five risks to manage; deep discounting and customer concentration are the most material

Risk	Evidence from the data	Impact	Likelihood	Mitigation
Margin leakage from deep discounts	10% of orders discounted above 20% run at a -10% margin; ₹0.32 Cr lost on loss-making orders	High	High	Rec 1: 20% cap with approval workflow
Customer concentration	Top 10% of customers = 45% of revenue; top 20% = 64%	High	Medium	Rec 3: top-customer retention programme
Low retention	Only 62% retained year on year; Consumer 54%	Medium	High	Rec 3: service and loyalty; Rec 2: more reasons to return
Regional decline	Central revenue -2.9% a year while the business grows 15%	Medium	Medium	Regional review in month 6; test Rec 2 offers in Central
Seasonal dependence	Q4 delivers 32% of annual revenue (even spread = 25%)	Medium	Medium	Q4 stock and cash plan; off-peak cross-sell offers

Impact and likelihood are management judgements informed by the evidence column.

STRATEGIC RECOMMENDATIONS

Three decisions, each tied to evidence in the data and sized to the business

1 Discount guardrails

WHAT

Cap discounts at 20% on Technology and Furniture; approval workflow above the cap.

WHY (EVIDENCE)

10% of orders sit above 20% and run at a -10% margin.

KEY RISK

Customers push back on price; volume loss above the 15% assumed.

₹19.6 lakh

run-rate profit benefit per year

Owner: CFO + Head of Sales

2 Office Supplies cross-sell

WHAT

Bundle and attach Office Supplies to Technology and Furniture orders, starting online and in the West.

WHY (EVIDENCE)

Office Supplies earns 42% margin vs 13% for Furniture; online is 53% of sales.

KEY RISK

Attach rate is unproven; validate in the month-6 pilot.

₹11.9 lakh

run-rate profit benefit per year

Owner: CMO + E-commerce lead

3 Top-customer retention

WHAT

Account plans and loyalty benefits for the 281 top-quintile customers; target +8 points retention.

WHY (EVIDENCE)

Top 10% = 45% of revenue; overall retention 62%.

KEY RISK

Programme cost per customer rises faster than retention gains.

₹8.6 lakh

run-rate profit benefit per year

Owner: Head of Customer Success

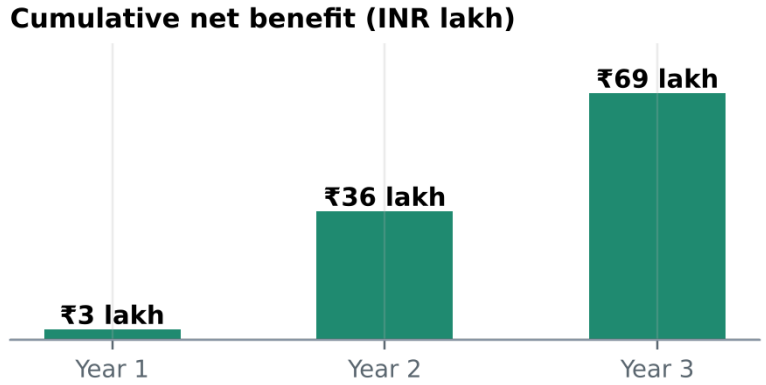
ROI PROJECTIONS

₹31.0 lakh of investment returns ₹100.4 lakh over three years: ROI 224%, with payback inside 12 months

Recommendation	Run-rate benefit / yr	3-yr cost	3-yr benefit	3-yr ROI	Payback
R1 Discount guardrails	₹19.6 lakh	₹12.0 lakh	₹49.0 lakh	308%	10 months
R2 Office Supplies cross-sell	₹11.9 lakh	₹11.0 lakh	₹29.8 lakh	171%	9 months
R3 Customer retention	₹8.6 lakh	₹8.0 lakh	₹21.6 lakh	170%	11 months
Portfolio	**₹40.1 lakh**	**₹31.0 lakh**	**₹100.4 lakh**	**224%**	**11 months**

HOW TO READ THIS

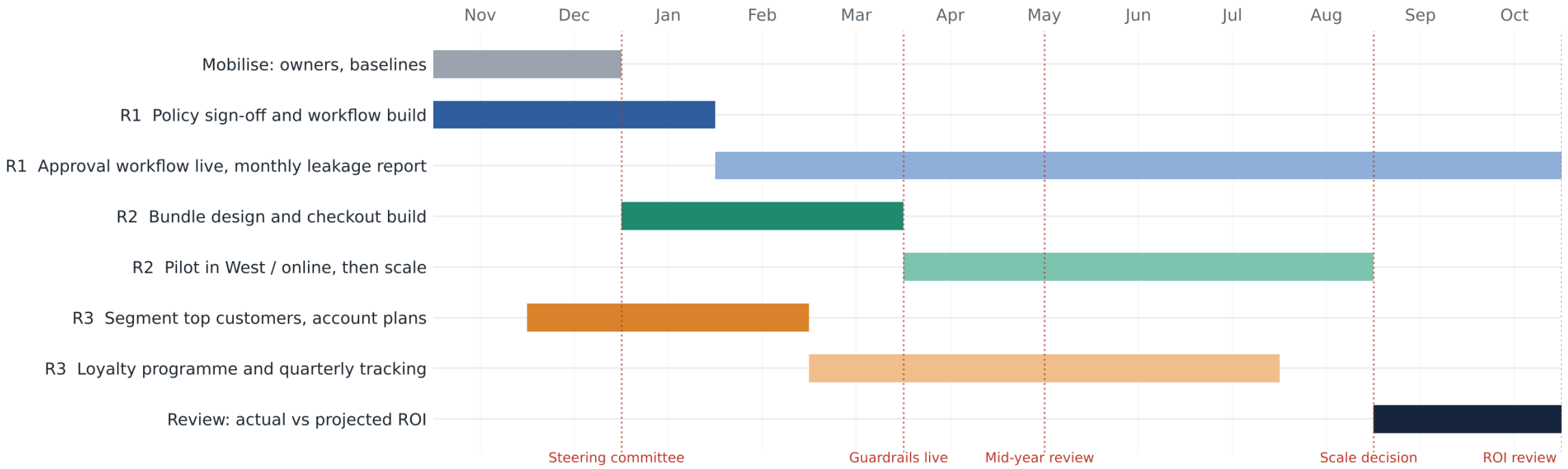
- Benefits are profit gains after variable costs; costs are one-time set-up plus annual running costs.
- Year 1 benefit is ramped to 50% of run rate while programmes launch.
- The portfolio is cash-positive in year 1 (cumulative net ₹3.1 lakh) and builds to ₹69.4 lakh by year 3.



Source: notebook section 8; assumptions on slide 13.

IMPLEMENTATION TIMELINE

A 12-month plan: guardrails live by month 5, programmes scaled by month 10, results reviewed in month 12



Timeline assumes approval in October 2026 and kick-off in November 2026 (months 1-12 = Nov 2026 to Oct 2027). Dotted lines mark governance milestones.

SO WHAT

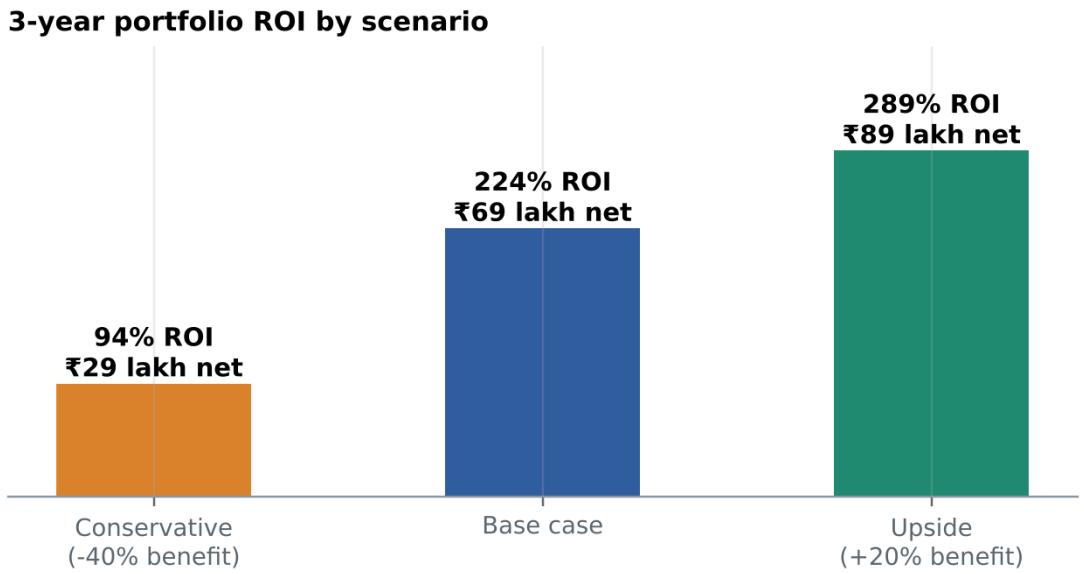
R1 starts first: it needs no new demand and pays back in about 10 months.

R2 and R3 are staged pilots, so spend scales only after early results.

A month-6 review is the formal gate to adjust or stop any programme.

SENSITIVITY AND ASSUMPTIONS

Even with 40% lower benefits, the portfolio still returns a 94% ROI



Planning assumptions (editable in the notebook)

Programme	Assumption
R1 Guardrails	Cap 20%; 85% of capped orders still convert; ₹6 lakh set-up, ₹2 lakh/yr
R2 Cross-sell	+15% Office Supplies revenue; 8% incentive cost; ₹2 lakh set-up, ₹3 lakh/yr
R3 Retention	+8 pts retention for top quintile (281 customers); ₹1,500/customer; ₹2 lakh set-up, ₹2 lakh/yr
Ramp-up	Benefit realised: 50% in year 1, then 100%

WHAT COULD GO WRONG

- Customer reaction to the cap: if every affected order were lost, profit would still rise by ₹11.1 lakh, because those orders lose money today.
- Cross-sell uplift is the least proven input: the month-6 pilot read-out validates it before full scale-up.
- These ROI inputs are planning estimates, not observed results; replace them with actual quotes and pilot data.

DECISION AND NEXT STEPS

We ask the leadership team to approve three programmes and the governance to track them

DECISIONS REQUESTED TODAY

- Approve the ₹31.0 lakh three-year investment envelope (first-year spend ₹17.0 lakh).
- Name an executive owner for each programme and a steering committee chaired by the CFO.
- Adopt the 20% discount guardrail policy effective from the month-5 workflow go-live.

KPIs we will report monthly

KPI	Today	12-month target
Orders discounted above 20%	10% of orders	Below 3%
Loss-making orders	8.4% of orders	Below 4%
Office Supplies share of revenue	20%	23% (+15% growth)
Customer retention	62%	66% overall; +8 pts top quintile

Next 30 days

- Confirm owners and budget; baseline KPIs locked from this notebook.
- Finance validates the cost and uplift assumptions on slide 13 with real quotes.
- Draft the discount-approval policy and thresholds for sign-off.
- Replace the synthetic data with the company's order data and re-run the notebook.